The problem of feedback loops

The market economy is ordinarily a resilient creature that recovers from shocks. The process of firm failure is good for surviving competitors, as they gain pricing power and are able to access resources at lower prices. Firm failure is a problem for the affected firm, but not of the economy.

This is not the case with macroeconomic/financial crises. Financial crises lack ready pathways for exit; in fact, there are positive feedback loops. As an example, consider a country in a fiscal crisis, where the government is finding it difficult to borrow on the scale required to finance the deficit. The fiscal crisis adversely affects GDP growth. When GDP growth is lower, tax revenues go down and generally expenditure goes up. This worsens the fiscal crisis.

In every crisis, it is important for policymakers to understand the positive feedback loops which are in operation, and try to disrupt some of the positive feedback loops. The word ‘pro-cyclicality’ is also used for ‘positive feedback loops’.

Examples of these positive feedback loops abound in crises in India. The classic interplay between macroeconomics and finance in a credit crisis runs as follows. The banks get into trouble, and pull back from lending. This hampers the working of real sector firms, and more of them get into trouble. This worsens the credit quality of banks.

Fire sales are a source of feedback loops. As an example, suppose the firms/individuals who are in trouble are overexposed to real estate. Distressed persons sell real estate in order to obtain cash which they badly require. Large and urgent sales have an adverse impact upon real estate prices. This worsens the position of the firms/individuals who are exposed to real estate.

When a downturn begins, forecasted inflation goes down. This makes previously negotiated nominal debt contracts more expensive. Suppose there is a loan at a nominal interest rate of 8 per cent. Suppose a downturn begins, and forecasted inflation goes down from 4 per cent to 2 per cent.